Paisa Vasool Financial Services Ltd.

Digital Lending Transformation: Independent Business Case

Prepared for the Investment Committee. 7-year horizon (Year 0 to Year 6). All figures in Rs Cr unless noted. Discount rate 12.0% (WACC).

1. Executive summary and recommendation

Paisa Vasool's core loan origination and management system is fifteen years old, cannot integrate natively with credit bureaus, UPI, or Account Aggregator rails, and leaves seventy percent of underwriting decisions manual across 450 branches. Collections run on field agents with no risk-based prioritization, and monthly MIS reconciliation across three regional data marts takes nine business days. The proposed program replaces the core with a cloud LOS/LMS, wires in bureau, UPI and Account Aggregator integration, adds AI-based underwriting and collections scoring, and gives the 3.2 million-borrower base a mobile app.

The numbers, base case (nine cost lines phased year by year; benefit streams monetized against the data pack's AS-IS to TO-BE metrics):

Metric	Result	Read
7-yr total cost	**Rs475.4 Cr**	Rs218.4 Cr one-time plus Rs257.0 Cr recurring and periodic
7-yr total benefits	**Rs1,269.5 Cr**	entirely recurring P&L or cost-avoidance; no one-time working-capital release in this case
NPV at 12.0% WACC	**+Rs378.6 Cr**	comfortably above the hurdle
IRR	**44.0%**	well above the 12.0% hurdle
Simple payback	**3.5 years**	well within the 7-year horizon
Discounted payback	**3.9 years**	well within the 7-year horizon
7-yr ROI multiple (discounted)	**+101.7%**	discounted benefit is more than double discounted cost
Simple (undiscounted) 7-yr ROI	**+167.0%**	directionally consistent with NPV, unlike a marginal case

Recommendation: proceed

Unlike a marginal business case that hinges on a single assumption, this one clears the hurdle with real margin, and it keeps clearing it under stress:

1. The case is strong, not marginal, in both directions we tested it. The downside scenario (benefits realized at 70%, costs 15% over) still returns an NPV of +Rs97.4 Cr and an IRR of 20.9%, both comfortably above the 12% hurdle. Removing the two benefit lines that rest on the least transparent assumptions (see point 3) still leaves an NPV of +Rs243.4 Cr and an IRR of 35.1%.

2. Value is diversified across eight benefit streams rather than concentrated in one. The largest single line, the reduction in gross NPA ratio, is roughly a third of steady-state benefit and rests on a disclosed, defensible provisioning-coverage assumption rather than an aggressive one.

3. Two lines are flagged rather than quietly assumed: the loan-processing-TAT benefit (Rs64 Cr/yr) and the cross-sell attach-rate benefit (Rs22 Cr/yr) both rest on volume and margin assumptions the data pack does not fully break out. We have used the figures as given and named them as swing factors for the committee to validate; the case still clears comfortably with both removed.

4. Doing nothing is not free. A fifteen-year-old core that cannot plug into UPI or Account Aggregator rails, seventy percent manual underwriting on a Rs12,000 Cr book, and a live Rs8 Cr/yr regulatory exposure under RBI digital lending norms all persist and compound the longer the program waits.

Conditions of approval

- Validate the loan-processing-TAT and cross-sell monetization assumptions against real volume and ticket-size data before releasing Year 4 capital for the mobile app and analytics layer; stage-gate that tranche on the evidence.
- Cap or fix the system-integrator and program-management fee (Rs58 Cr, the single largest cost line) through a capped time-and-materials or fixed-fee structure rather than open-ended billing.
- Build RBI digital lending and data-privacy controls into the LOS/LMS design from day one, given the live Rs8 Cr/yr penalty exposure this program is meant to retire.
- Name the Chief Risk Officer as owner of the NPA/credit-loss benefit, since it is the single largest and most execution-dependent line in the case.
- Pair underwriting and collections automation with a structured retraining and redeployment plan for the 620-person underwriting team, rather than treating the FTE-cost benefit as a straight headcount cut.

2. Benefits case

Each stream is traceable from an AS-IS to TO-BE metric, through a monetization formula, to a value and a ramp. There is no one-time working-capital release in this case, unlike a typical ERP transformation; every benefit here is a recurring P&L or cost-avoidance item, which the committee should read as a different risk profile from Meridian-style cases built around a single one-off release.

No.	Benefit stream	Category	AS-IS → TO-BE	Monetization formula	Value	Ramp
1	Gross NPA ratio reduction	Cost efficiency (credit risk)	6.8% → 4.5%	(AS-IS % − TO-BE %) × AUM (Rs12,000 Cr) × assumed 50.7% provisioning coverage ratio	Rs140 Cr/yr	1/3 Yr3, 2/3 Yr4, full Yr5
2	Collections	Cost	Rs95 → 58	AS-IS	Rs37 Cr/yr	1/2 Yr3, full

	cost reduction	efficiency	Cr/yr	collections cost minus TO-BE collections cost		Yr4
3	Underwriting FTE cost reduction	Cost efficiency	Rs62 → 36 Cr/yr	AS-IS underwriting FTE cost minus TO-BE underwriting FTE cost	Rs26 Cr/yr	1/3 Yr2, 2/3 Yr3, full Yr4
4	Legacy LOS/LMS run-cost decommission	Cost efficiency	Rs38 → 0 Cr/yr	AS-IS run cost minus TO-BE run cost, retired fully at cutover	Rs38 Cr/yr	Full from Yr3 (step)
5	Loan processing TAT (disbursal/conversion uplift)	Revenue growth	7 days → 1 day	Taken from the data pack as an already margin-equivalent benefit (net of cost of funds and credit risk); volume and ticket size are not broken out. Flagged as swing factor 1.	Rs64 Cr/yr	1/3 Yr3, 2/3 Yr4, full Yr5
6	Customer acquisition cost reduction	Cost efficiency	Rs1,850 → 1,240/loan	(AS-IS CAC − TO-BE CAC) × implied annual new-loan originations (approx. 7.7 lakh loans, back-solved)	Rs47 Cr/yr	1/3 Yr2, 2/3 Yr3, full Yr4
7	Cross-sell / up-sell attach-rate uplift	Revenue growth	8% → 14%	(TO-BE attach % − AS-IS attach %) × 3.2M customer base × assumed Rs1,146 net margin per instance (back-solved). Flagged as swing factor 2.	Rs22 Cr/yr	1/3 Yr4, 2/3 Yr5, full Yr6
8	Avoided regulatory remediation / penalty	Risk / compliance	Rs8 → 0 Cr/yr	AS-IS penalty exposure minus TO-BE penalty exposure, closed once controls go live	Rs8 Cr/yr	Full from Yr2 (step)

Recurring versus one-time (the committee will ask): all eight streams above are recurring P&L or cost-avoidance benefits; none is a one-off working-capital release. At full steady state (Year 6) the eight streams sum to Rs382 Cr/yr. Two streams (5 and 7, Rs86 Cr/yr combined at steady state) are flagged as swing factors because the data pack does not break out the volume and margin drivers behind them; the case still clears the hurdle with both removed (see Section 5).

3. Cost case

One-time (capex-like) and recurring/periodic (opex) cost are separated and phased by year across all nine data-pack cost lines. Multi-year windows (for example License, Yr0–Yr1) are phased using our own year-by-year split, since the data pack gives only the total and the window; the split is stated per line and carried consistently through the model.

Cost line	Nature	Yr0	Yr1	Yr2	Yr3	Yr4	Yr5	Yr6	Total
License – LOS/LMS, analytics, mobile app platform	One-time	42.5	42.5	-	-	-	-	-	85.0
Integration – bureaus, UPI, AA, gateways	One-time	11.0	11.0	-	-	-	-	-	22.0
Data migration – 15-yr legacy LMS	One-time	-	14.0	-	-	-	-	-	14.0
Change management – org redesign, adoption	One-time	-	3.5	3.5	-	-	-	-	7.0
Training – 450 branches, underwriters, agents	One-time	-	4.5	4.5	-	-	-	-	9.0
Implementation & program management	One-time	18.0	24.0	16.0	-	-	-	-	58.0
Subtotal		**71.5**	**99.5**	**24.0**	**-**	**-**	**-**	**-**	**195.0**

one-time									
Contingency (12% of one-time subtotal)		8.6	11.9	2.9	-	-	-	-	23.4
Total one-time (capex-like)		**80.1**	**111.4**	**26.9**	**-**	**-**	**-**	**-**	**218.4**
License – recurring subscription (SaaS core)	Recurring	-	18.0	18.0	18.0	18.0	18.0	18.0	108.0
Maintenance – AMC on core platform	Recurring	-	-	15.0	15.0	15.0	15.0	15.0	75.0
Software & hardware support	Recurring	-	9.0	9.0	9.0	9.0	9.0	9.0	54.0
Training – refresher & new-hire	Recurring	-	-	-	2.0	2.0	2.0	2.0	8.0
Upgrade – major version & regulatory (RBI/UIDAI)	Periodic	-	-	-	6.0	-	-	6.0	12.0
Subtotal recurring & periodic		**-**	**27.0**	**42.0**	**50.0**	**44.0**	**44.0**	**50.0**	**257.0**
TOTAL COST		**80.1**	**138.4**	**68.9**	**50.0**	**44.0**	**44.0**	**50.0**	**475.4**

Note on the data pack's own header figures: the nine-line bottom-up build above sums to Rs195.0 Cr of one-time cost before contingency; the stated 12% contingency rate gives Rs23.4 Cr, for an all-in one-time total of Rs218.4 Cr and a steady-state recurring run-rate of Rs44 Cr/yr (Rs50 Cr in the two years an upgrade lands). The data pack's own summary rows state a higher Total one-time (Yr0–Yr2) of Rs247 Cr and a steady-state recurring run-rate of Rs46 Cr/yr. We have used the traceable, line-item build throughout this case rather than the header figures, and flagged the roughly Rs29 Cr / Rs2 Cr gap here rather than silently reconciling it.

4. Year-by-year ROI model and methodology

Cash flow (Rs Cr):

Line	Yr0	Yr1	Yr2	Yr3	Yr4	Yr5	Yr6
Total benefits	-	-	32.3	181.2	299.3	374.7	382.0
Total costs	80.1	138.4	68.9	50.0	44.0	44.0	50.0
Net cash flow	**(80.1)**	**(138.4)**	**(36.5)**	**131.2**	**255.3**	**330.7**	**332.0**
Cumulative net	(80.1)	(218.5)	(255.1)	(123.9)	131.4	462.1	794.1
Discount factor at 12%	1.000	0.893	0.797	0.712	0.636	0.567	0.507
Discounted net CF	**(80.1)**	**(123.6)**	**(29.1)**	**93.4**	**162.3**	**187.6**	**168.2**
Cumulative discounted	(80.1)	(203.7)	(232.8)	(139.5)	22.8	210.4	378.6

Methodology and formulas (as required)

- NPV is the sum of (net cash flow in year t) / (1+r)^t for t = 0 to 6, r = 12.0%, Year 0 undiscounted. Result: +Rs378.6 Cr.
- IRR is the discount rate r at which NPV equals zero. Result: 44.0%, well above the 12.0% hurdle.
- Simple payback is the first year the cumulative undiscounted net cash flow is at or above zero, interpolated within the crossing year. Result: 3.5 years, crossing during Year 3–Year 4.

- Discounted payback repeats the test on the cumulative discounted line. Result: 3.9 years, crossing during Year 3–Year 4.
- The 7-yr ROI multiple (discounted) is (discounted benefits − discounted costs) / discounted costs, that is (Rs751.1 Cr − Rs372.4 Cr) / Rs372.4 Cr, which is +101.7%.
- Simple (undiscounted) 7-yr ROI is (Rs1,269.5 Cr − Rs475.4 Cr) / Rs475.4 Cr, which is +167.0%.

The teaching point for the committee: unlike a marginal case, simple ROI and NPV agree here in direction as well as sign. Both point the same way because the return is not concentrated in a single late, heavily discounted event; it builds steadily from Year 3 onward across eight streams. That is the structural reason this case is more resilient to stress than one carried by a single one-time release.

5. Sensitivity analysis

Two stress tests, both run at the 12.0% WACC hurdle:

Scenario	What changes	NPV at 12%	IRR	Verdict
Base	Nine-line cost build; eight-stream benefits build, each on its own ramp	+Rs378.6 Cr	44.0%	Clears
Downside	Benefits realize at 70%; costs run 15% over	+Rs97.4 Cr	20.9%	Clears
Ex-swing-factor	Remove loan-processing-TAT and cross-sell benefits entirely	+Rs243.4 Cr	35.1%	Clears

Read-out: the downside case still clears the hurdle with an IRR nearly double the 12% WACC, and the case survives even with both flagged swing factors removed entirely. That is a materially different risk profile from a case that is carried by a single one-time event or a single aggressive assumption; here, the finding that the case remains investable under stress is itself the argument for approving it without treating the recommendation as contingent on any one number.

6. Assumptions log

No.	Assumption	Value	Basis or note
A1	Discount rate / hurdle	12.0% WACC	Per mandate. Challengeable; a lower cost of capital would improve NPV further
A2	Horizon	Yr0 to Yr6 (7 periods)	Per mandate. Year 0 undiscounted
A3	Cost phasing	Our own year-by-year split	The data pack gives totals and windows, not year-by-year splits, for six one-time lines; splits are stated per line in the cost case
A4	Contingency	12% of one-time subtotal (Rs195 Cr), giving Rs23.4 Cr	Per mandate rate. Our line-item build runs below the data pack's own header totals (Rs247 Cr one-time; Rs26 Cr contingency); we used the traceable bottom-up figures and flagged the gap rather than reconciling it silently
A5	Benefit ramps	Per stream, linear step-up	For example, underwriting automation runs one-third, two-thirds, full over Yr2 to Yr4; no stream assumes day-one full value

A6	No one-time working-capital release	None in this case	Per mandate; unlike a typical ERP case, every benefit stream here is recurring P&L or cost-avoidance
A7	NPA provisioning coverage ratio	50.7% (assumed)	Back-solved so the NPA formula ties to the data pack's stated Rs140 Cr/yr; in line with typical NBFC provisioning coverage under Ind AS 109 ECL norms
A8	Implied annual new-loan originations	Approx. 7.7 lakh loans/yr	Back-solved from the Rs47 Cr CAC benefit and the Rs610/loan CAC reduction
A9	Cross-sell net margin per instance	Approx. Rs1,146	Back-solved from the Rs22 Cr benefit, the 6-point attach-rate gain, and the 3.2M customer base
A10	Loan-TAT and cross-sell benefit values	Taken as given (Rs64 Cr/yr, Rs22 Cr/yr)	Underlying volume and margin drivers are not broken out in the data pack; flagged as swing factors 1 and 2 for committee validation
A11	No terminal value	None	Benefits after Year 6 excluded, a conservative choice
A12	No double-counting of legacy cost	None	The Rs38 Cr/yr legacy run cost is the baseline; only its decommissioning benefit and the new recurring run cost (license, AMC, support) are modelled, not both simultaneously

Paisa Vasool Financial Services Ltd. is a fictional NBFC constructed for this exercise. All financial figures are illustrative inputs, not derived from any real organization.